

roamed England, and the earnings stayed constant, you'd just be breaking even today.

I wish I had saved this report and had it framed for my office wall, to put alongside one that was sent to me from another brokerage firm that read: "Due to the recent bankruptcy, we're removing this stock from our buy list."

In the years that followed, EDS the company performed very well. The earnings and sales grew dramatically, and everything it did was a whopping success. EDS the stock is another story. The price declined from \$40 to \$3 in 1974, not because there was anything amiss at headquarters, but because the stock was the most overpriced of any I've ever seen before or since. You often hear about companies whose future performance is "discounted" in the stock price. If that's the case, then EDS investors were discounting the Hereafter. More on EDS later.

When Avon Products sold for \$140 a share, it had an extremely high p/e ratio of 64—though nowhere near as extreme as EDS's. The important thing here is that Avon was a huge company. It's a miracle for even a small company to expand enough to justify a p/e of 64, but for a company the size of Avon, which already had over a billion in sales, it would have had to sell megabillions worth of cosmetics and lotions. In fact, somebody calculated that for Avon to justify a 64 p/e it would have to earn more than the steel industry, the oil industry, and the State of California combined. That was the best-case scenario. But how many lotions and bottles of cologne can you sell? As it was, Avon's earnings didn't grow at all. They declined, and the stock price promptly plummeted to \$18⁵/₈ in 1974.

The same thing happened at Polaroid. This was another solid company, with 32 years of prosperity behind it, but it lost 89 percent of its value in 18 months. The stock sold for \$143 in 1973 and dropped to \$14¹/₈ in 1974, only to bounce up to \$60 in 1978 and then stumble once again, back to \$19 in 1981. At the market high in 1973, Polaroid's p/e was 50. It got that high because investors expected an incredible growth spurt from the new SX-70 camera, but the camera and the film were overpriced, there were operating problems, and people lost interest in it.

Again, the expectations were so unrealistic that even if the SX-70 had succeeded, Polaroid would probably have had to sell four of them to every family in America to earn enough money to justify the high p/e. The camera as a rousing success wouldn't have done much for the stock. As it was, the camera was only a moderate success, so it was bad news all around.

THE P/E OF THE MARKET